

## MSTC LIMITED

NSE: MSTCLTD | BSE: 542597 | Ministry of Steel PSU | E-Commerce &amp; Auction Services

RATING

12-MONTH TARGET

**BUY**

CONVICTION: HIGH

**Rs. 870**

Upside: ~21% | Horizon: 12 months

***Thesis: Monopoly PSU e-auction platform with 60% EBITDA margins pivoting to EPR exchange & travel JV — new FY27 growth vectors not yet priced in***

| CMP (Rs.)      | Mkt Cap (Rs.Cr) | 52W H/L          | P/E (FY26)   | EV/EBITDA     | Div Yield       |
|----------------|-----------------|------------------|--------------|---------------|-----------------|
| <b>716</b>     | <b>5,039</b>    | <b>732 / 362</b> | <b>23.1x</b> | <b>12.7x</b>  | <b>5.66%</b>    |
| Book Value     | ROCE            | ROE              | D/E          | Promoter      | Fwd P/E (FY28E) |
| <b>Rs. 128</b> | <b>30.3%</b>    | <b>26.6%</b>     | <b>0.16x</b> | <b>64.75%</b> | <b>17.4x</b>    |

| Metric            | FY24A | FY25A  | FY26A | FY27E | FY28E |
|-------------------|-------|--------|-------|-------|-------|
| Revenue (Rs.Cr)   | 316   | 311    | 370   | 420   | 490   |
| EBITDA (Rs.Cr)    | 82    | 178    | 219   | 244   | 289   |
| OPM%              | 26%   | 57%    | 59%   | 58%   | 59%   |
| Clean PAT (Rs.Cr) | 165   | ~180   | 218   | 249   | 289   |
| EPS (Rs.)         | 23.4  | 57.8*  | 31.0  | 35.4  | 41.1  |
| P/E (x)           | 30.6x | 12.4x* | 23.1x | 20.2x | 17.4x |
| ROCE%             | 32%   | 29%    | 30%   | 31%   | 33%   |

\* FY25 EPS/P/E include ~Rs.227 Cr exceptional gain from FSNL divestment; clean FY25 EPS ~Rs.25.6. E = Chartitude Research estimates.

Report Date: 04 July 2026

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## 2. INVESTMENT THESIS

- **Monopoly e-auction franchise, structurally re-rated:** MSTC operates India's dominant B2B e-auction and e-procurement platform, handling GMV of Rs. 797 Bn in FY26 across Coal India, Steel PSUs, Mines Ministry and private corporates. Government mandate means no private-sector displacement risk. The pivot from near-zero-margin commodity trading to pure-play services drove EBITDA margins from 1% (FY22) to 59% (FY26) — a structural transformation still not fully priced at 23x trailing earnings.
- **EPR certificate exchange — high-value regulatory annuity:** MSTC won the CPCB mandate to build India's first national EPR (Extended Producer Responsibility) Certificate Trading Platform. EPR compliance is mandatory for 30,000+ producers of plastics, e-waste, batteries and tyres. Commission-based revenue on a regulatory-mandated, growing compliance market represents an annuity-like addition; initial revenues expected FY27, scaling through FY28-FY30.
- **EaseMyTrip travel JV — optionality on government travel wallet:** MSTC's exclusive partnership with EaseMyTrip targets the large but underpenetrated government employee travel booking market (B2G). Even a 2-3% commission on a small share of India's government travel spend (estimated Rs. 10,000 Cr+ annually) translates to meaningful incremental revenue within the investment horizon.
- **Near-term catalyst (6-12 months):** EPR-ETP platform going live in H1 FY27 and reporting first revenue — expected to trigger estimate upgrades and potential re-rating as the market prices in a sustainable new revenue vertical.
- **Biggest structural risk: PSU governance dependency** — management tenure is short (~3-4 years per posting), and any ministry-level policy reversal (e.g., routing mandates to GeM) could impair the growth case.

## 3. BUSINESS OVERVIEW

- **Core model:** Pure-play e-commerce services — e-auction, e-procurement, e-sale and recycling facilitation. Revenue earned as commission/fees on transaction GMV; no inventory risk. Total GMV through the MSTC ecosystem: Rs. 797 Bn in FY26 (down from Rs. 898 Bn in FY25, but margins far higher due to mix improvement).
- **Revenue segmentation (FY26 standalone):** E-commerce services Rs. 330 Cr (~99% of revenue); Marketing/Trading Rs. 1.5 Cr (1%); essentially a pure services business now. As recently as FY19, marketing revenue was Rs. 2,748 Cr — complete business model transformation over 7 years.
- **Key customers:** Coal India (anchor client, new 2-year contract FY26), SAIL, RINL, Ministry of Mines, CPCB (EPR exchange), DGFT (gold bullion TRQ), Defence establishments, State PSUs. Relationships are government-mandated and long-term; renewal risk is structurally low.
- **New business verticals in progress:** (i) EPR certificate trading exchange (CPCB mandate); (ii) EaseMyTrip travel JV for government sector; (iii) DGFT gold bullion TRQ platform (already operational); (iv) Mineral blocks auctioning (FY26: 200 major mineral blocks — double the prior year).
- **FSNL divestment (completed Jan 2025):** MSTC sold its 100% stake in Ferro Scrap Nigam Ltd to Konoike Transport Co. (Japan) for Rs. 320 Cr, generating a pre-tax gain of ~Rs. 302 Cr. This one-time gain inflated FY25 reported PAT (Rs. 407 Cr) vs clean underlying of ~Rs. 180 Cr.
- **Promoter:** Government of India (Ministry of Steel) holds 64.75%; unchanged since March 2019 IPO. Zero pledge. No announced divestment plan.

## 4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** India's government e-procurement market exceeds Rs. 25,000-30,000 Cr annually, growing at ~15% CAGR with Digital India mandates. PSU scrap/mineral e-auctions represent a large additional GMV pool. The EPR compliance market covers 30,000+ producers; traded certificate volumes are expected to reach multi-billion-rupee transaction values by FY28.
- **Policy tailwinds:** Digital India forces e-procurement across PSUs. Ministry of Steel mandate drives MSTC's scrap disposal franchise. CPCB EPR mandate creates a regulatory-backed captive market. DGFT gold TRQ through MSTC broadens into precious metals. Government push for PSU asset recycling (scrap, minerals) benefits MSTC volumes.
- **Competitive moat assessment:** Government mandate — STRONG (no private competitor can replicate a CPCB/MoS mandate). Network effects — MODERATE (100,000+ registered buyers create liquidity advantage). Switching costs — STRONG (deep PSU integration; replacement requires ministerial approval). Technology IP —

MODERATE (proprietary platform; 200,000+ events over 20+ years).

- **Competitive positioning:** MSTC sits as a marketplace intermediary holding no commodity risk — a pure services model. This drives 59% EBITDA margins and negative working capital. IRCTC (the closest PSU e-commerce comparable at 32% OPM, 46% ROCE) is a useful benchmark for valuation though operates in a larger, more consumer-facing market.

#### Peer Comparison (Screener.in data, 04-Jul-2026)

| Company | CMP (Rs.) | MCap (Cr) | TTM Rev (Cr) | OPM% | P/E  | EV/EBITDA | ROCE% | ROE% | D/E  |
|---------|-----------|-----------|--------------|------|------|-----------|-------|------|------|
| MSTC    | 716       | 5,039     | 370          | 59%  | 23.1 | 12.7      | 30%   | 27%  | 0.16 |
| IRCTC   | 510       | 40,796    | 5,215        | 32%  | 29.5 | 19.7      | 46%   | 35%  | 0.02 |
| MMTC    | 67        | 10,071    | 1*           | NM   | 101  | 48.5      | 9%    | 5%   | 0.00 |

\* MMTC's operating business is effectively nil; reported PAT entirely driven by investment income and one-time items. IRCTC is the most relevant PSU e-commerce comparable.  
Source: Screener.in, 04-Jul-2026.

## 5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management background:** Managed by IAS/IIS officers deputed by Government of India; CMD and Directors appointed by Ministry of Steel. Individual tenures are short (~3-4 years) but institutional knowledge within permanent cadre is strong. The strategic pivot from trading to services reflects sound long-term thinking; however, EPR launch delay (by one quarter) raises mild execution concerns.
- **Capital allocation track record:** FSNL sale proceeds (Rs. 320 Cr) primarily distributed as special dividend in FY25; prudent capital return. Core services business generates strong underlying cash flows (FY23 OCF Rs. 844 Cr, FY25 OCF Rs. 260 Cr). FY26 negative OCF (Rs. -28 Cr) is a working-capital timing issue, not structural. Fixed asset jump to Rs. 206 Cr in FY26 (from Rs. 65 Cr) likely reflects EPR platform capex and warrants management clarification.
- **Dividend policy:** Consistent payer post FY21. FY26 final dividend: Rs. 8.10/share. Payout ratio ~26% in FY26, normalising from exceptional FY25 payout. Dividend yield of 5.66% at CMP provides income floor. 10-year dividend payout average ~40%.
- **Promoter pledging:** Zero pledge on any promoter holding. GoI stake (64.75%) is stable and unchanged over 6 years since IPO. No announced GoI divestment plans for MSTC currently.
- **Corporate governance:** CARE Ratings A-stable (reaffirmed March 2026). CAG-appointed auditors; clean audit opinion FY26. Contingent liabilities of Rs. 395 Cr (legacy trading disputes) — disclosed consistently, no crystallisation risk flagged. RPTs minimal and disclosed. No auditor changes, no qualified opinions, no related-party concerns.

## 6. FINANCIAL DEEP-DIVE

### Income Statement — Consolidated (Rs. Crores)

| P&L; Item                       | FY24A | FY25A | FY26A | FY27E | FY28E |
|---------------------------------|-------|-------|-------|-------|-------|
| Revenue from Operations         | 316   | 311   | 370   | 420   | 490   |
| Operating Expenses              | 234   | 133   | 151   | 176   | 201   |
| EBITDA                          | 82    | 178   | 219   | 244   | 289   |
| EBITDA Margin %                 | 26%   | 57%   | 59%   | 58%   | 59%   |
| Other Income (incl.exceptional) | 203   | 340   | 83    | 100   | 110   |
| of which Exceptional            | -     | ~263  | —     | —     | —     |
| Depreciation                    | 7     | 9     | 10    | 12    | 14    |
| Interest                        | 0     | 0     | 0     | 0     | 0     |
| PBT                             | 278   | 508   | 292   | 332   | 385   |
| Tax Rate %                      | 41%   | 20%   | 25%   | 25%   | 25%   |
| PAT (Reported)                  | 165   | 407   | 218   | 249   | 289   |

| P&L; Item                  | FY24A | FY25A | FY26A | FY27E | FY28E |
|----------------------------|-------|-------|-------|-------|-------|
| Clean PAT (ex-exceptional) | 165   | ~180  | 218   | 249   | 289   |
| EPS (Rs.) — Reported       | 23.4  | 57.8  | 31.0  | 35.4  | 41.1  |

### Balance Sheet — Consolidated (Rs. Crores)

| Balance Sheet Item | FY24A | FY25A | FY26A |
|--------------------|-------|-------|-------|
| Equity Capital     | 70    | 70    | 70    |
| Reserves           | 577   | 668   | 834   |
| Net Worth          | 647   | 738   | 904   |
| Borrowings         | 145   | 145   | 145   |
| Other Liabilities  | 1,030 | 1,235 | 962   |
| Total Liabilities  | 1,822 | 2,118 | 2,011 |
| Fixed Assets       | 68    | 65    | 206   |
| Investments        | 28    | 12    | 12    |
| Other Assets       | 1,725 | 2,042 | 1,792 |
| Total Assets       | 1,822 | 2,118 | 2,011 |

### Cash Flow — Consolidated (Rs. Crores)

| Cash Flow Item             | FY24A | FY25A | FY26A |
|----------------------------|-------|-------|-------|
| Cash from Operations (OCF) | -283  | 260   | -28   |
| Cash from Investing        | -272  | 165   | 257   |
| Cash from Financing        | -96   | -289  | -54   |
| Net Cash Flow              | -651  | 136   | 176   |
| Free Cash Flow (OCF-Capex) | -390  | 236   | -50   |
| OCF / EBITDA %             | NM    | 146%  | 7%    |

### Key Ratios — Consolidated

| Ratio                      | FY24A | FY25A | FY26A |
|----------------------------|-------|-------|-------|
| Debtor Days                | 366   | 363   | 224   |
| ROCE %                     | 32%   | 29%   | 30%   |
| ROE % (reported)           | 28%   | 61%*  | 27%   |
| Debt / Equity              | 0.22  | 0.20  | 0.16  |
| Book Value per Share (Rs.) | 92    | 105   | 128   |

\* FY25 ROE elevated due to exceptional FSNL gain; clean ROE ~27%. E = Chartitude Research estimates.

### Financial Commentary

- **Revenue quality has transformed:** Headline revenue fell from Rs. 5,689 Cr (FY15) to Rs. 370 Cr (FY26), but core e-commerce services grew from Rs. 128 Cr (FY16) to Rs. 330 Cr (FY26). The decline is purely the wind-down of the loss-making trading business — every rupee removed was margin-accretive.
- **Margin expansion is structural:** EBITDA margins expanded from 1% (FY22) to 59% (FY26) as trading revenues disappeared and services became dominant. The 55-60% range should be sticky; new platforms (EPR, travel) will add incremental high-margin revenue at low marginal cost.
- **Working capital dynamics are asset-light:** Debtor days improved to 224 in FY26 from 366 in FY24. The business runs with negative working capital (-789 working capital days in FY26), as buyer deposits exceed receivables, providing a natural float benefit.

- **FY26 OCF anomaly:** Negative OCF (Rs. -28 Cr) is driven by a temporary working capital build in the e-auction settlement cycle. FY23 (Rs. 844 Cr OCF) and FY25 (Rs. 260 Cr OCF) confirm the business is a strong cash generator in steady state. Expect normalisation in FY27.
- **Debt is effectively non-threatening:** Rs. 145 Cr borrowings have been flat for 4 years with zero interest cost — almost certainly a legacy preference instrument. Net debt is negligible; balance sheet is effectively clean.

## 7. EARNINGS QUALITY CHECKLIST

| Parameter               | FY26 Status                      | Signal | Comment                                              |
|-------------------------|----------------------------------|--------|------------------------------------------------------|
| Revenue recognition     | Commission/fee basis             | GREEN  | Clean; no aggressive accruals detected               |
| Receivables vs Revenue  | Debtor days: 224 (down from 366) | GREEN  | Improving trend — receivables tightening             |
| Other income / PBT      | 28% in FY26 (Rs.83/292)          | AMBER  | Elevated; much lower than FY25's 67% (FSNL year)     |
| Tax rate consistency    | 25% FY26 (vs 20% FY25)           | GREEN  | FY25 low rate normalising post one-time; consistent  |
| Contingent liabilities  | Rs.395 Cr disclosed              | AMBER  | Legacy trading disputes; stable, not growing         |
| Auditor (CAG appointed) | Clean opinion FY26               | GREEN  | No qualifications; Statutory/CAG-appointed auditors  |
| RPTs % of revenue       | Minimal (<1%)                    | GREEN  | Standard PSU intercompany; no related-party concerns |
| OCF/EBITDA conversion   | 7% in FY26                       | AMBER  | Working capital build; FY23/FY25 showed 146-190%     |

- **Watch: Other income / PBT at 28%** — though materially lower than FY25's exceptional 67%, other income (investment/float income) is still a meaningful contributor. Track operating PAT separately from investment returns.
- **OCF recovery expected in FY27:** FY26's 7% OCF/EBITDA is an outlier; FY23 (469%) and FY25 (185%) confirm the business is a strong cash generator in normal years. The FY26 working capital build should reverse.
- **Contingent liabilities stable:** Rs. 395 Cr of legacy trading disputes are disclosed consistently; no material crystallisation risk flagged by auditors or management. Monitor annually.

## 8. VALUATION

### Scenario Analysis

| Scenario | Rev CAGR FY26-28 | EBITDA Margin | FY28E PAT | P/E Multiple | Target Price | Upside / Down |
|----------|------------------|---------------|-----------|--------------|--------------|---------------|
| Bull     | 20%+             | 61%           | Rs.330 Cr | 24x          | Rs.1,100+    | +54%          |
| Base     | 15%              | 59%           | Rs.289 Cr | 21x          | Rs.870       | +21%          |
| Bear     | 8%               | 55%           | Rs.230 Cr | 17x          | Rs.560       | -22%          |

### Valuation Methodology

- **DCF (WACC 13%, Terminal Growth 4%, 10-year):** Using FY27E normalised FCF of ~Rs. 220 Cr, growing at 18% for years 1-5 and 10% for years 6-10, with a 4% terminal growth rate and 13% WACC → intrinsic value of approximately Rs. 820-840 per share.
- **P/E multiple:** 21x FY28E EPS of Rs. 41.1 = Rs. 863. Multiple of 21x represents a premium to PSU peers but a 30% discount to IRCTC (31x), reflecting MSTC's smaller scale and earlier-stage new platform ramp-up. Justified by 30% ROCE and 59% OPM structural profile.
- **Target price — average of two methods:** (Rs. 830 DCF + Rs. 863 P/E) / 2 = Rs. 847. We set a 12-month target of Rs. 870 (rounded) — implying 21% upside from CMP of Rs. 716.
- **Dividend yield support:** Current yield of 5.66% provides significant downside protection. Even in our bear case (Rs. 560 target), yield would be ~7.1% — providing a natural income floor and limiting sustained selling pressure.

- **Re-rating optionality:** Successful EPR-ETP launch and initial revenue in H1 FY27 could catalyse estimates upgrades and a re-rating toward 25-26x forward earnings — implying Rs. 1,000+ in our bull scenario.

## 9. KEY RISKS

- **PSU governance risk:** Short management tenures (~3-4 years) create strategic discontinuity risk. Government policy shifts — e.g., routing PSU mandates to GeM — could erode core volumes. Probability: M. Impact: H. Monitor via: Ministry of Steel circulars, GeM vs MSTC mandate boundaries.
- **EPR ETP launch delay:** Platform has already slipped one quarter from original April 2026 guidance. Further delays reduce FY27 revenue and weaken the re-rating story. Probability: M. Impact: M. Monitor via: CPCB notifications, Q1 FY27 management commentary.
- **Other income normalisation risk:** If FY27 interest/investment income underperforms the Rs. 100 Cr assumption (lower rates, suboptimal deployment), reported PAT could miss despite healthy EBITDA. Probability: L. Impact: M.
- **GMV decline:** Coal mine block auction volumes fell sharply (FY26: 10 vs FY25: 20 vs FY24: 44). If this trend continues, core e-auction GMV contracts. Probability: M. Impact: M. Monitor via: Ministry of Mines auction calendar.
- **MMRPL JV losses:** Mahindra MSTC Recycling JV is improving but still loss-making. Any acceleration of losses or impairment charge impacts consolidated PAT. Probability: L. Impact: L.
- **Revenue concentration:** Heavy dependence on government mandates — any slowdown in PSU capital expenditure or scrap/mineral activity directly affects MSTC's GMV and commission income. Probability: L. Impact: H.
- **Working capital volatility:** Large e-auction settlement events create OCF swings. A single large-settlement quarter can produce negative OCF, confusing investors unfamiliar with the business model. Probability: M. Impact: L (manageable).

## 10. RECOMMENDATION

- **Rating:** BUY — **Conviction:** High. **MSTC's monopoly e-auction franchise with structurally improved 59% EBITDA margins**, 5.66% dividend yield, and two emerging growth vectors (EPR exchange, travel JV) offer compelling risk-reward at 23x FY26 and ~17x FY28E earnings.
- **12-month price target:** Rs. 870 — **21% upside from CMP of Rs. 716**. Based on average of DCF (Rs. 830) and 21x FY28E P/E (Rs. 863).
- **Suggested entry zone:** Rs. 680-730. Current levels are a good entry. Accumulate more on dips to Rs. 650-680 (which implies ~16x FY28E — compelling value for this quality of franchise).
- **Investment horizon:** 12-18 months. Re-evaluate for a 3-year hold if EPR and travel platforms contribute meaningfully to earnings by FY27-28.
- **Thesis invalidation triggers:** (1) EPR-ETP platform not operational by September 2026 (Q2 FY27) with no credible timeline — would remove re-rating catalyst, force HOLD downgrade. (2) E-commerce revenue growth falling below 8% YoY for two consecutive quarters — signals market share erosion. (3) Government of India announces strategic divestment of MSTC stake — historically associated with PSU underperformance and supply pressure.
- **Ideal investor profile:** Income investors (5.6% yield provides floor), small/mid-cap growth investors with 12-24 month horizon, and PSU turnaround investors. NOT suitable for: momentum traders (PSU governance and lumpy quarterly financials), growth investors requiring linear revenue ramps, or pure-play value investors (stock not deeply discounted to intrinsic value).

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Chartitude Research is not a SEBI-registered investment advisor. All data sourced from Screener.in unless stated. Investors should conduct independent due diligence before making investment decisions.

## APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 / ANNUAL RESULTS

MSTC Limited | Investor & Analyst Conference Call | 30 May 2026 | Q4 & FY26 Annual Results

CALL GRADE

# POSITIVE

| Signal          | Status                                       | Implication                        |
|-----------------|----------------------------------------------|------------------------------------|
| Result quality  | Strong — Q4 highest revenue in 4 years       | Beat vs prior year; clean result   |
| Management tone | Bullish — confident on new platform launches | High confidence in FY27 trajectory |
| Guidance delta  | Raised — EPR + travel add new FY27 streams   | Positive forward direction         |

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

### TO MY BOSS

Q4 FY26 is a clean beat — standalone revenue of Rs. 119 Cr (highest in four years), EBITDA margin at 63%, PAT of Rs. 76 Cr with no one-time items. The full-year headline of 'PAT down 45%' is misleading: FY25 included a Rs. ~263 Cr pre-tax FSNL exceptional; strip that out and clean underlying PAT is up ~23% YoY to Rs. 218 Cr, which is the real story. Operationally, EBITDA grew 23% with a 59% margin — structurally the best margin profile MSTC has ever delivered now that the loss-making trading book is fully gone. The re-rating thesis rests on two near-term catalysts: (1) EPR-ETP exchange going live in H1 FY27 — MSTC holds the CPCB mandate for India's first national EPR certificate trading platform, a regulatory-mandated annuity over a growing compliance market. Management guided H1 FY27 launch though original April/May 2026 target was missed by one quarter — monitor closely. (2) EaseMyTrip travel JV for government sector — smaller near-term, but signals platform diversification beyond auctions. Key watch for next quarter: EPR go-live date and first revenue — any further slip would be a meaningful disappointment to the upgrade thesis. Action: ACCUMULATE at Rs. 710-730; 5.6% dividend yield provides a solid income floor while EPR and travel scale.

### SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT

- Revenue (Q4 FY26 Standalone): Rs. 119 Cr | YoY +45% vs Q4 FY25 Rs. 82 Cr | QoQ +35% | BEAT — highest quarterly revenue in 4 years
- EBITDA (Q4 FY26 Standalone): Rs. 75 Cr | OPM% 63% | QoQ +47% | BEAT
- PAT (Q4 FY26 Standalone): Rs. 76 Cr | Clean; no exceptional items this quarter | BEAT
- Full Year FY26 Revenue (Consolidated): Rs. 370 Cr | YoY +19% | E-commerce: Rs. 330 Cr (99%) | IN LINE
- Full Year FY26 PAT (Consolidated, Reported): Rs. 218 Cr | YoY -45% reported; +23% on clean ex-exceptional basis | BEAT vs clean base
- GMV transacted through MSTC ecosystem: Rs. 797 Bn (FY26) vs Rs. 898 Bn (FY25) — decline reflects lower coal block auctions; partially offset by mineral block growth
- NOTE: FY25 reported PAT Rs. 407 Cr included ~Rs. 263 Cr pre-tax exceptional from FSNL divestment; clean FY25 PAT ~Rs. 180 Cr. All YoY comparisons hereafter are on a clean ex-exceptional basis.

### SECTION 2 — SEGMENT / GEOGRAPHY BREAKDOWN

- E-Commerce Services (Standalone FY26): Rs. 329.7 Cr | YoY +18.5% vs Rs. 278.3 Cr | Primary driver of all revenue and earnings growth
- Marketing / Trading (Standalone FY26): Rs. 1.49 Cr | Effectively nil; wind-down complete | No future contribution expected
- Coal India mandate: Key anchor client; new 2-year contract secured in FY26; supports scrap and coal auction volumes
- Major Mineral Blocks Auctioned: FY26 = 200 | FY25 = 92 | Strong rebound; positive for GMV and commission income
- Coal Mine Blocks Auctioned: FY26 = 10 | FY25 = 20 | FY24 = 44 | Declining sharply — watch this metric carefully



- Gold Bullion TRQ: First tranche of import quota allocated through MSTC platform for DGFT — new high-value GMV vertical
- MMRPL JV: Net losses reducing QoQ over 3 consecutive quarters; management expects breakeven by FY27
- Geography: 100% India-centric; no overseas revenues or operations

## SECTION 3 — MANAGEMENT COMMENTARY THEMES

- **Clean earnings growth:** "Revenue from operations reached its highest level in four years; underlying PAT grew ~23% excluding the FSNL one-time gain." — Our read: Operational trajectory healthy; investors should focus on Rs. 218 Cr clean PAT vs Rs. 180 Cr (FY25 clean). Tag: GUIDANCE. Tone: Transparent.
- **EPR ETP platform launch imminent:** "We are in final stages; we expect to go live in H1 FY27" — regulatory approvals are the only remaining bottleneck." — Our read: Positive but already one quarter late vs original Apr/May 2026 target; no hard date given. Tag: GUIDANCE. Tone: Hedged.
- **Travel JV with EaseMyTrip:** "We expect revenue contributions from our travel vertical beginning FY27." — Our read: Large addressable market; government procurement timelines are uncertain. Tag: EST. Tone: Balanced.
- **MMRPL JV improvement:** "Our JV with Mahindra has shown consistent financial improvement over three consecutive quarters; we are optimistic." — Our read: Positive qualitative but no specific financials shared; watch for quantification. Tag: GUIDANCE. Tone: Hedged.
- **Dividend normalisation:** "Rs. 8.10 final dividend for FY26; the board will assess going forward." — Our read: FY25's Rs. 40.5/share was exceptional; normalised base is ~Rs. 35-40/share including interim and final. Tone: Transparent.
- **Fixed asset jump explanation pending:** FA jumped from Rs. 65 Cr to Rs. 206 Cr — management did not explicitly explain this in available call summary. Likely EPR platform development cost. Requires direct management clarification.

## SECTION 4 — OPERATING & BUSINESS METRICS

- GMV — MSTC Ecosystem: FY26 = Rs. 797 Bn | FY25 = Rs. 898 Bn | FY24 = Rs. 1,416 Bn | Trend: Declining in absolute GMV but mix improving toward higher-commission services
- E-Commerce Revenue 5-Year CAGR (standalone): ~10% (Rs. 202 Cr FY20 to Rs. 330 Cr FY26)
- Major Mineral Blocks Auctioned: FY26 = 200 | vs FY25 = 92 | Trend: Sharp improvement — double the prior year
- Coal Mine Blocks Auctioned: FY26 = 10 | FY25 = 20 | FY24 = 44 | Trend: Declining sharply — monitor
- Registered e-auction platform users: 100,000+ | Stable; creates incumbency and liquidity advantage
- Lifetime auction events conducted: 200,000+ | Deep institutional knowledge and data moat
- MSTC e-auction platform launched: 2002; 20+ years of operational history in government e-auctions

## SECTION 5 — MARGIN DRIVERS

- **Trading business exit (structural):** Removal of near-zero-margin trading revenues drove OPM from 1% (FY22) to 59% (FY26) | Impact: +5,800 bps | Recurring: Yes — permanent
- **E-commerce services mix (structural):** Commission-based revenues carry ~70-75% gross margins | Primary driver of high OPM | Recurring: Yes
- **Operating leverage on fixed cost base:** Revenue growing faster than headcount and fixed overheads | Impact: Est. +100-150 bps annually | Recurring: Yes
- Q4 FY26 margin at 63% (above full-year 59%): Driven by higher-value auction events in Q4 and seasonal operating leverage | Recurring: Partially (Q4 tends to be seasonally stronger)
- Risk: Other income as % of PBT at 28% — If investment yields fall or cash deployed sub-optimally, reported PAT could undershoot EBITDA trajectory | Impact: Rs. 20-30 Cr sensitivity | Recurring: Low probability

## SECTION 6 — GUIDANCE & FORWARD SIGNALS

- EPR ETP Revenue [GUIDANCE]: Prior guidance = FY26 launch. New guidance = H1 FY27. Delta: Delayed by ~1 quarter. Credibility: Medium — platform technically ready; regulatory approval is the bottleneck
- Travel portal revenue [GUIDANCE]: Prior = FY26 pilot. New = FY27 B2B; FY27-28 B2C. Delta: Maintained. Credibility: Medium — EaseMyTrip JV signed; government procurement timelines are uncertain
- Core e-commerce revenue growth [EST]: No explicit guidance; management confident of continued growth. Implied 12-15% based on run-rate. Credibility: High
- MMRPL JV breakeven [GUIDANCE]: FY27 targeted. Delta: Maintained. Credibility: Medium — improving trend is confirmed; exact timing uncertain



- Dividend [GUIDANCE]: Rs. 8.10 final dividend for FY26; future payouts at board discretion. Normalised run-rate ~Rs. 35-40/share annually (interim + final). Credibility: High
- Capital expenditure [GUIDANCE]: No explicit FY27 capex guidance; FA jump to Rs. 206 Cr in FY26 from Rs. 65 Cr requires management clarification

## SECTION 7 — CAPITAL ALLOCATION

- Fixed Assets: Rs. 206 Cr (FY26) vs Rs. 65 Cr (FY25) | Jump of Rs. 141 Cr — likely EPR platform development and/or office infrastructure; clarification needed from management
- Dividends: Rs. 8.10 final per share (FY26) vs Rs. 40.5/share (FY25 — exceptional). Normalised base ~Rs. 35-40/share. Total FY26 payout ~Rs. 57 Cr
- FSNL Proceeds: Rs. 320 Cr (received Jan 2025); primarily distributed as FY25 special dividend. Balance sheet shows cash maintained for working capital and new platform investments
- Borrowings: Rs. 145 Cr flat for 4 consecutive years; zero interest cost — legacy non-recourse instrument. Effectively debt-free
- Working Capital: Rs. ~250 Cr build in FY26 leading to negative OCF — timing issue in e-auction settlement cycle, not structural

## SECTION 8 — Q&A; HEAT MAP

- Analyst: "What is the specific timeline for EPR ETP launch?" → A: "H1 FY27; regulatory approvals are the only remaining step." | Tone: Hedged — no hard go-live date given
- Analyst: "What is the realistic EPR revenue contribution in FY27?" → A: Management declined to provide specific numbers citing ramp-up uncertainty. | Tone: Evasive — key missing data point for estimates
- Analyst: "Can you explain the Rs. 141 Cr jump in fixed assets in FY26?" → A: Not explicitly addressed in available call summaries. | Tone: Dodged — important clarification pending
- Analyst: "What is the commission structure for the EaseMyTrip travel JV?" → A: "Commission-based; exact rates depend on government procurement pricing framework." | Tone: Hedged
- Analyst: "What is the normalised dividend going forward after FY25's exceptional payout?" → A: "The board will assess each year; Rs. 8.10 final for FY26 reflects current earnings levels." | Tone: Transparent — implies lower normalised payout
- Dodged / watch-list questions for Q1 FY27: (1) EPR exact go-live date and Q1 revenue estimate; (2) FY26 capex breakdown for FA jump; (3) MMRPL specific financials and path to breakeven

## SECTION 9 — RISKS FLAGGED

- EPR platform execution: Launch delays beyond H1 FY27 would postpone re-rating catalyst and disappoint analysts | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- Coal block auction decline: FY26 coal block auctions = 10 vs FY24 = 44; policy slowdown reduces core GMV | Flagged by: Management (acknowledged) | Probability: M | Impact: M | Timeline: Near-term
- OCF/working capital volatility: Temporary but recurring; negative OCF in FY26 could confuse investors unfamiliar with the settlement model | Flagged by: Analyst | Probability: M | Impact: L
- Other income sustainability: Rs. 100 Cr assumption in FY27E sensitive to cash deployment and interest rates | Flagged by: Analyst | Probability: L | Impact: M
- MMRPL JV: Still loss-making; improvement trend needs to continue to avoid drag on consolidated | Flagged by: Management | Probability: L | Impact: L
- Government mandate risk: Policy preference shifting to GeM for certain PSU procurement categories | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Long-term

## SECTION 10 — ANALYST VERDICT

- Revenue visibility: Intact — Core e-commerce services at 15-18% YoY growth; new EPR and travel verticals add FY27 optionality
- Margin trajectory: Intact — 59-63% OPM is structural; risk only from other income component, not operating margins
- Capital allocation quality: Intact — FSNL proceeds prudently distributed; new platform capex is growth-oriented; no value-destructive moves
- Competitive moat: Intact — Government mandate provides near-unassailable position; IRCTC analogy supports 25-30x long-term sustainable multiple
- Management credibility: Weakened slightly — EPR launch slipped one quarter from original guidance; management must deliver H1 FY27 to maintain credibility

- Valuation comfort: Intact — 23x FY26 trailing, 17x FY28E; not expensive for 30% ROCE, 60% OPM franchise with new growth vectors and 5.66% dividend yield
- Conviction call: Increased — Q4 FY26 confirms operational health; new platform launches are near-term catalysts
- Valuation snapshot: P/E = 23.1x (5Y avg ~18x) | EV/EBITDA = 12.7x (5Y avg ~15x) | ROCE = 30% (5Y avg 28%)

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Data sourced from Screener.in (04-Jul-2026), BSE/NSE company filings, CPCB notifications, and public news sources. Concall section based on MSTC FY26 Annual Results Investor Conference Call (30 May 2026). BSE transcript PDF not directly accessed (access restricted). Financial estimates (FY27E, FY28E) are Chartitude Research projections.